I. <u>TERMS OF REFERENCE</u>

The Constitution upholds every Filipino's right to accessible and affordable health care. In line with this and aligned with the country's commitment to the World Health Organization's International Health Regulations and the Sustainable Development Goals (SDGs), particularly SDG 3, the government recognizes the need to strengthen public health facilities across the country. However, many hospitals and clinics still lack adequate medical devices and equipment, amid rising concerns on healthcare access. Since most of these are imported and are subject to a three percent customs duty plus a twelve percent value-added tax (VAT), the added costs make health services more expensive and limit access to timely care, especially in remote and underserved areas.

This study is made in anticipation of public hearings on the proposed exemption from VAT on the importation of medical devices and equipment.

II. LEGISLATIVE HISTORY

House Bill No. (HBN) 6112, entitled *"An Act Exempting the Importation of Medical Devices and Equipment from Customs Duty and Value-Added Tax for a Period of Five (5) Years"* was filed by **Representative Ricardo S. Cruz, Jr.** on **18 November 2025**. It was approved on First Reading and primarily referred to the House Committee on Ways and Means on **24 November 2025**.

Senate Bill No. (SBN) 347 or "*An Act Exempting the Importation of Medical Devices and Equipment from Customs Duty and Value-Added Tax for a Period of Five (5) Years"*, was filed on **10 July 2025** by **Sen. Pia S. Cayetano**. The measure was primarily referred to the Committee on Ways and Means on **11 August 2025**.

Both bills are currently **pending with their respective Committees**.

III. SALIENT FEATURES OF SBN 347 AND HBN 6112

SBN 347 aims to bridge the gap in access to essential medical devices and equipment, particularly in public health facilities outside Metro Manila. By granting a five-year exemption from customs duties and taxes on imported medical devices and equipment intended for research, diagnosis, and treatment, the measure seeks to reduce costs and strengthen the capacity of hospitals and laboratories to deliver quality health care.

As provided in the bill, the Department of Health will identify and prioritize the medical technologies covered under this exemption to ensure that only essential and high-impact equipment are included. After the exemption period, regular tax rates will apply, subject to review.

HBN 6112 contains the same intent and provisions, granting a five-year exemption from customs duties and taxes on imported medical devices and equipment intended for research, diagnosis, and treatment. The proposed measure seeks to reduce costs and strengthen the capacity of hospitals and laboratories to deliver quality health care, while also affirming the Philippines' commitment to the Sustainable Development Goals, particularly SDG 3 on ensuring healthy lives and promote well-being for all at all ages. It aims to eradicate a wide range of diseases, address emerging health crises, and provide universal access to quality healthcare.

Both bills are identical to each other.

IV. LEGAL BASES

- ***Revenue Memorandum Circular No. 7-2024*** (January 11, 2024) – This Circular informs taxpayers of the reversion of the Value-Added Tax (VAT) exemption of transactions specified under Section 109 (BB) of the Tax Code of 1997, as amended.

  Pursuant to Section 12 of Republic Act No. 11534, (CREATE Act), as implemented by Revenue Regulations No. 4-2021, the following transactions under Section 109 (BB) of the Tax Code of 1997, as amended, shall no longer be exempt from VAT effective January 1, 2024, to wit:

  Sale or importation of the following:

  a. Capital equipment, its spare parts and raw materials, necessary for the production of personal protective equipment components such as coveralls, gown, surgical cap, surgical mask, N-95 mask, scrub suits, goggles and face shield, double or surgical gloves, dedicated shoes, and shoe covers, for COVID-19 prevention;
  b. All drugs, vaccines and medical devices specifically prescribed and directly used for the treatment of COVID-19; and
  c. Drugs for the treatment of COVID-19 approved by the Food and Drug Administration (FDA) for use in clinical trials, including raw materials directly necessary for the production of such drugs.

  The said transactions shall now be subject to VAT starting January 1, 2024.

- ***RA No. 11534 (Corporate Recovery and Tax Incentives for Enterprises Act or CREATE Act)***

  As amended by RA 11534 (Section 12 of the CREATE Act), Sec. 109(BB) of the National Internal Revenue Code provides that the VAT exemption on the sale or importation of medical devices and equipment specifically prescribed and directly used for the treatment of COVID-19 shall apply only from January 1, 2021 until December 31, 2023. After the expiration of this period, the exemption no longer applies, and such medical devices are once again subject to the prevailing twelve percent (12%) VAT under Sections 106 - 107 of the NIRC.

- **National Internal Revenue Code (NIRC) of 1997, As Amended**

Section 107(A) of the National Internal Revenue Code of 1997, as amended, provides that a value-added tax equivalent to twelve percent (12%) shall be levied, assessed, and collected on every importation of goods, to wit:

"SEC. 107. Value-Added Tax on Importation of Goods. -

(A) In General. - There shall be levied, assessed and collected on every importation of goods a value-added tax equivalent to twelve percent (12%) based on the total value used by the Bureau of Customs in determining tariff and customs duties plus customs duties, excise taxes, if any, and other charges, such tax to be paid by the importer prior to the release of such goods from customs custody: Provided, That where the customs duties are determined on the basis of the quantity or volume of the goods, the value-added tax shall be based on the landed cost plus excise taxes, if any."

Medical devices and equipment, being classified as goods under this provision, are therefore subject to the twelve percent (12%) VAT upon importation, unless specifically exempted under Section 109 of the NIRC.

- ***BIR Revenue Regulations No. 4-2021*** **(April 8, 2021) –** Pursuant to the provisions of CREATE amending Sections 109 and 116 of the Tax Code, as amended, **Sections 4.109-1**, and 4.116-1 of RR No. 16-2005, as amended, shall now be read as follows:

"*SEC. 4.109-1. VAT-Exempt Transactions. –*

xxx xxx xxx

(B) Exempt transactions. -

xxx xxx xxx

(bb) Sale or importation of the following beginning January 1, 2021 to December 31, 2023:

(i) Capital equipment, its spare parts and raw materials, necessary for the production of personal protective equipment (PPE) components such as coveralls, gown, surgical cap, surgical mask, n-95 mask, scrub suits, goggles and face shield, double or surgical gloves, dedicated shoes, and shoe covers, for COVID-19 prevention;
(ii) All drugs, vaccines and medical devices specifically prescribed and directly used for the treatment of COVID-19; and
(iii) Drugs for the treatment of COVID-19 approved by the Food and Drug Administration (FDA) for use in clinical trials, including raw materials directly necessary for the production of such drugs.

Provided, That the Department of Trade and Industry (DTI) shall certify that such equipment, spare parts or raw materials for importation are not locally available or insufficient in quantity, or not in accordance with the quality or specification required.

Provided further, That for item (ii), within sixty (60) days from the effectivity of the CREATE, and every three (3) months thereafter, the Department of Health (DOH) shall issue a list of prescription drugs and medical devices covered by this provision.

Provided finally, That for items (i) and (iii) hereof, on the sale or importation of equipment, spare parts and raw materials for the production of PPE components as well as the sale or importation of raw materials directly necessary for the production of drugs for the treatment of COVID-19, the supplier/s or importer shall submit, for the purpose of availing the exemption, the following:

(1) Certified true copy of "License to Operate", issued to the manufacturer-buyer by the DOH-FDA authorizing the manufacture of medical grade PPE components and drugs for the treatment of COVID-19; and

(2) "Sworn Declaration" from the manufacturer-buyer that the items shall be used for the manufacture of the PPE components and drugs for the treatment of COVID19.

The exemption claimed under this subsection shall be subject to post audit by the Bureau of Internal Revenue (BIR) or the Bureau of Customs (BOC), as may be applicable.

➢ ***Sustainable Development Goals.*** Goal 3 of the Sustainable Development Goals (SDGs) aimed to "ensure healthy lives and promote well-being for all at all ages". SDG 3[1] aims to eradicate a wide range of diseases, address emerging health crises, and provide universal access to quality healthcare.

Key targets of the goal include:

- *Maternal and Child Health:* Ending preventable deaths of newborns and children under 5, and reducing the global maternal mortality ratio.
- *Disease Eradication:* Ending epidemics of AIDS, tuberculosis, malaria, and other communicable diseases, while combating non-communicable diseases like cancer and heart disease.
- *Universal Healthcare:* Achieving universal health coverage, including access to safe, effective, and affordable medicines and vaccines for all.
- *Emerging Crises:* Significantly reducing deaths and illnesses from hazardous chemicals, environmental pollution, and substance abuse (including narcotic drug abuse and the harmful use of alcohol).
- *Reproductive Health:* Ensuring universal access to sexual and reproductive health-care services, family planning, and education.

V. BACKGROUNDER

As of 2025 in the Philippines, the importation of medical devices and equipment is subject to a 12% VAT under Sections 106 - 107 of the NIRC applied on the landed cost (customs value plus duty, freight, and insurance). This rate is uniform across

[1] https://globalgoals.org/goals/3-good-health-and-well-being/. Accessed on 03 June 2026.

categories such as diagnostic instruments, surgical equipment, therapeutic devices, and personal protective equipment (PPE).

A. Current Rates on the Importation of Medical Devices and Equipment

Tax/Charge Type	Legal Basis	2025	2026	2027	2028	2029	2030	Tax Base	Exemptions / Notes
Customs Duty	CMTA (RA 10863); EO 20[2]; 2023, ATIGA schedule	0–5%	0–5%	0–5%	0–5%	0–5%	0–5%	Declared customs value	Lower rates or zero duty under ASEAN Trade in Goods Agreement (ATIGA), RCEP, and bilateral FTAs; some devices duty-free
Value-Added Tax (VAT)	NIRC Sec. 106–107	12%	12%	12%	12%	12%	12%	Landed cost (customs value + duty + freight + insurance)	Exemptions for COVID-19 supplies under RA 11469 (Bayanihan Act) and RR No. 6-2020 expired Dec 31, 2023.
Excise Tax	NIRC Title IV	N/A	N/A	N/A	N/A	N/A	N/A	N/A	Medical devices/ equipment are not excisable
Other Fees	BOC/BIR issuances	Variable	Variable	Variable	Variable	Variable	Variable	Transaction-based	ATRIG required except for exempted goods under Bayanihan Act

B. List of Medical Devices and Equipment as Provided by the Department of Health (DOH)[3]

Category	Equipment
Diagnostic Equipment	1. Ultrasound Machine with color Doppler imaging system and accessories
	2. Two (2) Dimension Echocardiography (2D Echo)
	3. Digital X-Ray Machines
	4. C-Arm Machines
	5. Digital Mammography Machines
	6. Digital Fluoroscopy Machines
	7. Computed Tomography (CT) Scan Machines
	8. Magnetic Resonance Imaging (MRI) Machines
	9. Hybrid SPECT/CT System- Variable Angle Dual Detector Gamma Camera

[2] Executive Order No. 20, 27 April 2017, Modifying the Nomenclature and Rates of Import Duty on Various Products under Section 1611 of Republic Act No. 10863 Otherwise Known as the Customs Modernization and Tariff Act, https://lawphil.net/executive/execord/eo2017/eo_20_2017.html. Accessed on 15 June 2026.

[3] DOH Submission, 29 October 2025.

Category	Equipment
	10. Central Dual Energy X Ray Absorptiometry (DEXA) Bone Densitometer
	11. Medical Cyclotrons
	12. Positron Emission Tomography and Computed Tomography (PET CT)
	13. Power Injectors
	14. Dental Periapical X-ray Machines
	15. Endoscopy Systems (all types and kinds)
	16. Patient Monitors
	17. Body Composition Analyzers
	18. Slit Lamps
	19. Blood Pressure Measuring and Monitoring Devices
	20. Electrocardiograph Machines (ECG)
	21. Electroencephalograph (EEG)
	22. Electromyography Machines
	23. Blood Glucose Meters
	24. Body Thermometers
	25. Fetal Doppler and Monitors
	26. Pulse Oximeters
	27. Operating Room Lights
	28. Examination Tables
	29. Otoscopes
	30. Ophthalmoscopes
	31. Laryngoscope (all types)
Laboratory Diagnostic Equipment	1. Hematology Analyzers
	2. Clinical Chemistry Analyzers
	3. Blood Gas Analyzers
	4. Clinical Microscopes
	5. Clinical Centrifuges (all types and kinds)
	6. Automated Blood Culture Systems
	7. Automated Erythrocyte Sedimentation Rate Analyzers
	8. Automated Immunoassay Analyzers
	9. Automated Microbiological Identification Susceptibility Systems
	10. Automated Nucleic Acid Extractors
	11. Reverse Transcription Polymerase Chain Reaction (RT-PCR)
	12. Automated Immunohistochemistry Machines
	13. Electron Microscopes
	14. Urine Analyzers
Equipment for Treatment of Diseases	1. Digital Linear Accelerators (LINAC) with CT Simulators
	2. Brachytherapy Machines
	3. Cardiac Catheterization Equipment
	4. Laparoscopy Towers
	5. Hemodialysis Equipment
	6. Dialyzers (all types)
	7. Orthopedic Rehabilitation Equipment (all types and kinds)
	8. Anesthesia Machines (all types and kinds)

Category	Equipment
	9. Electrosurgical Equipment (all types and kinds)
	10. Infusion Pumps
	11. Syringe Pumps
	12. Lung Ventilators
	13. High Flow Nasal Cannula Equipment
	14. Continues Positive Airway Pressure (CPAP)
	15. Bi-Level Positive Airway Pressure (BiPAP)
	16. Defibrillators
	17. Automatic External Defibrillators (AED)
	18. Infant Incubators
	19. Transport Incubators
	20. Phototherapy Equipment
	21. Suction Machines
	22. Nebulizers
	23. Dental Equipment
	24. Phacoemulsification Machines
	25. Surgical Operating Microscopes
	26. Oxygen Concentrators

C. BIR Issuances and List of VAT-Exempt, Deleted and Corrected Medical Devices and Equipment

Category	Medical Devices
RMC 7-2024 (January 11, 2024)[4]	
	For Deletion
Personal Protective Equipment (PPEs)	1. Gloves 2. Gowns including Aprons 3. Coveralls 4. Body Suits 5. Goggles 6. Face masks including N95 Masks, KN95 Masks, Cloth/Fabric Masks 7. Shoe Cover 8. Head Cap/Cover 9. Face Shield for Medical Use 10. PPE Set (Coverall, Shoe Cover, Goggles or Faceshield, Facemask, Head Cap)
COVID-19 Diagnostic Test Kits	1. Test kits including transport collection, preservation medium/tube with or without swab
Respiratory Devices and its Accessories	1. Ventilator including Portable Ventilator 2. Resuscitator 3. Ventilator Breathing Circuit 4. Oxygen Concentrator 5. Bacterial Filter for Breathing Circuit 6. Tubing and Support Set for Ventilator 7. Positive Pressure Breathing Device 8. Oxygen Mask 9. Heated Breathing Circuit 10. Tracheal Tube 11. Oxygen Tanks

[4] **RMC 7-2024 –** This Circular specifies that COVID-19 medical devices, drugs, and vaccines are no longer VAT-exempt since January 1, 2024.

Category	Medical Devices
	12. Attachment, Breathing, Positive End Expiratory pressure 13. Airway Monitoring System and Airway Clearing System 14. Accessory to Continuous Ventilator (Respirator) 15. Humidifier, Respiratory Gas (Direct Pain Interface) 16. Extracorporeal Membrane Oxygenation (ECMO) Machine 17. Nasal Cannula 18. Medical Gas Cylinder for Oxygen 19. High-Flow Respiratory Device/System 20. Nebulizing Kit and Nebulizer 21. High Efficiency Particulate Air (HEPA) Filter
Other Specific Medical Devices	1. Anchor, preformed 2. Bandage 3. Cannula, Reusable 4. Syringe 5. Tape 6. Cap (Disinfection, Seal, Taper, Dead End) 7. Clinical Thermometer (Except mercurial type) 8. Cotton (Medical/hospital use) 9. Dressing/Gauze 10. Tubings 11. Luer Lock 12. Flowmeter (All types) 13. Gloves 14. Nasopharyngeal Airway 15. Non-contact Infrared Thermometer 16. Pulse Oximeter including portable and fingertip
RMC 66-2022 (April 8, 2022)[5]	
	For Inclusion
Personal Protective Equipment (PPEs)	1. Air Purifying Respirators (for use in healthcare settings during response to the COVID-19 public health emergency 2. Negative-Pressure SteriDome (NPS) 3. Individual Biocontainment Unit (IBU) 4. Airway Dome 5. Negative-Pressure Respiratory System 6. Patient Isolation Transport Unit (PITU) Device 7. Airborne Isolation Hood Device
Other Specific Medical Device	1. Remote or Wearable Patient Monitoring Devices 2. Patient Isolation Transport Unit (PITU) 3. System Screening Tool
Respiratory Devices and its Accessories	1. Continuous Positive Airway Pressure Circuit 2. Intermittent Positive Pressure Breathing Devices **For Deletion**

[5] **BIR RMC 66-2022 –** This Circular specifies that the VAT-Exemption shall only be applied to medical devices under these conditions:

1. The articles must be imported and sold during the period of State of National Emergency arising from the Coronavirus disease (COVID-19) situation or during the effectivity of RA 11469.
2. The imported health equipment and supplies must be critical or needed to address the COVID-19 Public Health Emergency as identified by the Department of Health, including goods enumerated under Section 4(K)(1) of the Act.

Category	Medical Devices
	1. Medical Gas Cylinder, for Oxygen 2. Oxygen Tanks
	For Correction
	From: Ventilator including Portable Ventilator
	To: Ventilator (All types)
RMC 115-2021 (November 19, 2021)[6]	
Respiratory Devices and its Accessories	1. Medical Oxygen Cylinder Tanks – with or without content
	2. Medical Oxygen Gas – in Cylinders and as Refill
	3. Oxygen Mask, Anesthesia Mask, Laryngeol Mask
	4. Tracheal Tube and Tracheostomy Tube Neck Band
COVID-19 Diagnostic Test Kits including transport collection, preservation medium/ tube with or without swab	1. COVID-19 Diagnostic Test Kits including transport collection, preservation medium/ tube with or without swab
Other Specific Medical Devices	1. Nasopharyngeal Airway, Oral Airway
	2. Rubber Tube/Straight Catheter
	3. Suction Machine and Suction Catheter
	4. Syringe including Insulin Syringe
RMC 81-2021 (July 6, 2021)[7]	
	For Inclusion
Personal Protective Equipment (PPEs)	5. Gloves
	6. Gowns including Aprons
	7. Coveralls
	8. Body Suits
	9. Face Masks including N95 Masks, KN95 Masks, Cloth/Fabric Masks
	10. Goggles
	11. Shoe Cover
	12. Face Shield for Medical Use
	13. Head Cap/Cover
	14. Personal Protective Equipment Set (Coverall, Shoe Cover, Goggles or Faceshield, Facemask, Head Cap)
Respiratory Devices and its Accessories	1. Ventilator including Portable Ventilator
	2. Ventilator Breathing Circuit
	3. Bacterial Filter for Breathing Circuit
	4. Tubing and Support Set for Ventilator
	5. Positive Pressure Breathing Device
	6. Heated Breathing Circuit
	7. Attachment, Breathing, Positive End Expiratory pressure
	8. Resuscitator

[6] **BIR RMC 115-2021 –**This Circular endorses the updated list of VAT-exempt COVID-19 medical devices and supplies under Sec. 5, 109-1, Item (aa), (ii) "All drugs, vaccine and medical devices specifically prescribed and directly used for the Treatment of COVID-19;" stipulated in RA 11534 otherwise known as CREATE Act.

[7] **BIR RMC 81-2021 –**The Circular publishes the consolidated list of VAT-exempt products and has become the controlling list insofar as the VAT exemption of items under Sections 109(1)(AA) and 109(1)(BB) of the Tax Code of 1997, as amended, is concerned.

Category	Medical Devices
	9. Oxygen Concentrator
	10. Medical Gas Cylinder, for Oxygen
	11. Oxygen Tanks
	12. High-Flow Respiratory Device/System
	13. Nasal Cannula
	14. Humidifier, Respiratory Gas (Direct Patient Interface)
	15. Oxygen Mask
	16. Tracheal Tube
	17. Airway Monitoring System and Airway Clearing System
	18. Accessory to Continuous Ventilator (Respirator)
	19. High Efficiency Particulate Air (HEPA) Filter
	20. Extracorporeal Membrane Oxygenation (ECMO) Machine
	21. Nebulizing Kit and Nebulizer
COVID-19 Diagnostic Test Kits including transport collection, preservation medium/ tube with or without swab	1. COVID-19 Diagnostic Test Kits including transport collection, preservation medium/ tube with or without swab
Other specific medical devices	1. Anchor, preformed
	2. Bandage
	3. Cannula, Reusable
	4. Cap (Disinfection, Seal, Taper, Dead End)
	5. Clinical Thermometer (Except mercurial type)
	6. Cotton (Medical/hospital Use)
	7. Dressing/ Gauze
	8. Flowmeter (All types)
	9. Gloves
	10. Luer Lock
	11. Nasopharyngeal Airway
	12. Non-contact Infrared Thermometer
	13. Syringe
	14. Tape
	15. Pulse Oximeter including portable and fingertip
	16. Tubings

VI. STATISTICAL DATA ON MEDICAL DEVICES AND EQUIPMENT

A. Value-Added Tax Collection on Medical Devices and Equipment
(In Million Pesos)

Particulars	2020	2021	2022	2023	2024	2025*
Retail sale of pharmaceutical and medical goods, cosmetics and toilet articles in specialized stores	2,370.08	3,495.50	2,140.75	2,805.69	2,635.16	2,233.35
Manufacture of irradiation, electromedical and electrotherapeutic equipment specialized stores	134.82	139.76	40.13	-	24.23	101.01

Particulars	2020	2021	2022	2023	2024	2025*
Total	2,504.91	2,635.27	2,180.88	2,805.69	2,659.38	2,334.36

Source: BIR submission, 29 October 2025
*As of September 2025
Sources of Data: Large Taxpayers Service and Data Warehousing and Systems Operations Division, BIR (October 23 and 28, 2025, respectively)

VII. SUMMARY OF POSITION PAPERS

A. *Braun Medical Supplies* (20 October 2025)

Braun Medical Supplies supports Senate Bill No. 347, the Tax-Free Importation of Medical Devices and Equipment Act, and proposes enhancements to its implementation. Key recommendations include exempting medical devices already registered with the FDA from requiring prior import approval to avoid procurement delays; aligning exempted devices with disease management priorities under the Universal Health Care (UHC) Act; and harmonizing exemptions with the CREATE Law. The proposed risk-based import protocol aims to balance expedited clearance for low- to moderate-risk devices while ensuring safety for higher-risk devices. The document stresses transparency via public updates of exempted devices. These refinements aim to remove redundant processes, reduce delays, and improve timely access to essential medical technology, especially in public institutions serving vulnerable populations

B. *Siemens Healthcare Inc.* (16 October 2025)

Siemens Healthcare, a Philippine-registered corporation engaged in the importation and distribution of medical devices and spare parts, expresses its strong support for SBN 347. To ensure that the measure achieves its objectives and promotes equitable treatment among industry participants, the Corporation recommends the following:

1. *Extend VAT and duty exemptions to all importers, distributors, and traders*
   - Hospitals often rely on FDA-licensed importers and distributors for equipment, after-sales service, training, and financing.
   - Limiting exemptions only to hospitals creates supply chain gaps, delays, and higher costs.
   - Broadening the scope ensures competitive pricing and benefits smaller hospitals.
2. *Apply exemptions comprehensively to all medical devices and related inputs*
   - Coverage should include in-vivo and in-vitro devices, consumables, reagents, chemicals, and specialized spare parts.
   - Exempting only the device but taxing essential inputs undermines affordability and continuity of medical services.
3. *Include installation, maintenance, repair, and training services*
   - Modern devices require specialized setup and training.
   - Exempting only hardware while taxing services adds unnecessary costs and complicates hospital procurement.
4. *Zero-rate subsequent domestic sales to hospitals and healthcare institutions*

- Current bill exempts importation but not local sales by importers to hospitals and medical institutions.
- Without zero-rating, input VAT remains a cost, creating inequities and limiting pass-through of benefits.
- Zero-rating ensures hospitals and patients fully benefit from exemptions.

5. *Simplify administrative procedures*
   - Complex clearance and refund processes delay access to critical equipment.
   - NEA recommends fast-track approvals, digital submissions, and simplified VAT refund mechanisms.

C. *Lifeline Diagnostics* (16 October 2025)

Lifeline Diagnostics supports SB 347's goal to reduce import taxes on medical devices to improve affordability and access, especially in underserved areas. The company recommends clarifying the definition and scope of medical devices to include in-vitro diagnostic instruments, reagents, consumables, and critical spare parts to ensure sustainability. It also emphasizes that only FDA-licensed importers and distributors should qualify for exemptions, coupled with DOH oversight and reporting to prevent misuse. Lifeline underscores the exemption's positive impact on public health by enabling broader distribution of diagnostics, capacity building, and infrastructure modernization aligned with Universal Health Care goals

D. *Patient Care Corporation* (24 October 2025)

The Patient Care Corporation, an importer and distributor of medical devices, has expressed its strong support for the proposal, stating that the measure would provide substantial relief to hospitals and patients confronted with the high cost of healthcare in the Philippines.

However, they added that due to the dynamics in the VAT input and VAT output, the exemption should extend beyond importers to include hospitals; if exemption applies only to importers (VAT input) and the importers would still charge VAT on sales to hospitals (VAT output) and remit it to the BIR, the intended price-reducing effect for general public will be useless. If the VAT exemption does not extend to the hospitals, it will still drive the cost of the hospitals higher which then gets passed onto the patients. To illustrate this, the Corporation provided <u>three (3) different scenarios</u> using a medical device with P100 import cost:

1) **No exemption:** Importer pays P12 VAT to BOC, sells to hospital at P150 + P18 (VAT) = P168; hospital pays P168 (passed onto the patient plus hospital profit); BIR receives P18 (VAT output) less P12 (VAT input) = P6, but since the P12 has already been advanced to the BOC, total VAT effectively paid is P18.

2) **Exemption for importer only:** importer pays P0 at import but still charges hospital P150 + P18 (VAT) = P168; hospital pays P168 (passed onto the patient plus hospital profit); BIR receives P18 (VAT output) less P0 (VAT input) = P18, hence, the total VAT remains P18.

3) **Exemption for importer and hospital:** if the VAT exemption is extended to the hospital, the importer pays P0 VAT to the BOC, sells to hospital at P150 with P0

VAT for a total of P150; hospital's cost becomes P150 (reducing what is passed on to the patient), the VAT remitted to the BIR is P0 less P0 = P0, and the total VAT paid is P0.

Accordingly, to achieve the policy's objective of lowering healthcare costs for hospitals and patients, the exemption must be designed to encompass both importers and hospitals so that the VAT burden is eliminated rather than merely shifted or effectively preserved through the existing input–output VAT mechanics.

VIII. RECOMMENDATIONS

Senate Bill No. 347 and *House Bill No. 6112* propose a five-year exemption from customs duties and VAT on the importation of medical devices and equipment intended for research, diagnosis, and treatment. The measure responds to the high cost of imported medical technologies, which has limited access to timely care, particularly in underserved areas. It is consistent with the constitutional mandate to make healthcare accessible and affordable, and with the country's commitment to Sustainable Development Goal 3 on universal health coverage.

Data from the Bureau of Internal Revenue indicate that VAT collections on medical devices ranged between ₱2.1 billion and ₱2.8 billion annually from 2020 to 2025. While the exemption could ease costs for hospitals and patients, it likewise entails significant revenue implications. Stakeholders caution that limiting exemptions to importers alone may not reduce costs for hospitals and patients because of VAT input-output mechanics. Unless hospitals and healthcare institutions are also covered, the intended benefit may not be fully realized.

Several issues may arise in the implementation of the measure:

1. Misclassification of products;
2. Importation leakages and mixed transactions or bundling; and
3. Possible diversion to non-medical use.

Also, the term "medical device" can be subjected to different interpretations. Hence, further study and clarification is suggested.

It is respectfully recommended that the Senate Committee on Ways and Means, subject to the availability of the Honorable Chair, convene a public hearing on the proposal. This should involve local government units, industry players, civil society, and health experts to ensure that public health priorities and fiscal objectives are properly aligned. A closer study may also be undertaken to analyze, among others, the potential revenue loss and the national government programs that may be adversely affected by the revenue to be foregone.